



digital rupee (e₹-R) transactions, its share is negligible (0.006%) in comparison to the total banknotes in circulation.

THE CHALLENGES

CBDC or digital rupee is a form of digital currency piloted in both wholesale and retail segments in India. It functions as legal tender, just like physical currency. While e₹-R comes in different denominations from 50 paise to ₹2,000, wholesale CBDC (e₹-W) does not have specific denominations.

The pilot for e₹-W began in November 2022 to facilitate inter-bank call money trades, while the retail CBDC pilot was launched on

December 1, 2022, initially covering select locations with a closed user group of customers and merchants. The retail CBDC pilot began with four banks in four cities and has since grown to 15 banks and 81 locations. To promote adoption, the central government introduced interoperability, allowing transactions through UPI QR codes. Despite these efforts, retail participation remains low compared to traditional currency.

Although there has been growth in retail digital rupee transactions, the wholesale segment has seen a decline. In March 2024, the value of the wholesale segment in circulation was just ₹0.08 crore, a big decline from ₹10 crore in

March 2023. According to former finance secretary Subhash Chandra Garg, there was only limited interest in using digital currency, despite some initial encouragement in the first year for using the wholesale currency for government securities and settlement accounts. By the end of the second year, the wholesale segment had largely collapsed, reflected in the dwindling volume of transactions. Meanwhile, the retail digital rupee has seen a jump.

One major obstacle to the digital rupee's success is the widespread use of the Unified Payments Interface (UPI), a cost-free and highly popular payments system. "CBDC was launched